

Securities Lending and Borrowing

Automated Securities Lending Programme Product Guide

Securities Lending and Borrowing Automated Securities Lending Programme Product Guide

Document number: 6239

6 January 2014 - pre-issue

This document is the property of Clearstream Banking S.A. ("Clearstream Banking"). No part of this document may be reproduced or transmitted in any form or by any means, electronic or mechanical, including photocopying and recording, for any purpose without the express written consent of Clearstream Banking. Information in this document is subject to change without notice and does not represent a commitment on the part of Clearstream Banking, or any other entity belonging to Clearstream International, S.A.

© Copyright Clearstream International, S.A. (2013). All rights reserved.

Clearstream is a registered trademark of Clearstream International S.A. SWIFT is a registered trademark of the Society for Worldwide Interbank Financial Telecommunication. Clearstream International, S.A. is a Deutsche Börse Group company.

Foreword

This guide (the “Product Guide”) describes the Clearstream Banking Automated Securities Lending programme (“ASL programme”), as contained in the Securities Lending and Borrowing Rules (as amended from time to time). It goes through the service step-by-step from both a lender and a borrower perspective.

- [“Introduction”](#) on page 1 describes the unique features and benefits of the service for both lender and borrower.
- [“Credit risk”](#) on page 3 provides an understanding of the protection and security the ASL programme can offer and the choices that are available to borrowers. It also summarises how the collateral agent minimises lender’s risk.
- [“Getting started”](#) on page 5 provides generic information about the programme and describes the steps needed to become a user in the ASL programme.
- [“Operation of the ASL programme”](#) on page 6 provides an illustration of the life cycle of a loan.
- [“Loan maintenance”](#) on page 8 describes the opening and closing of loans and the reimbursement, substitution and recall procedures.
- [“Billing”](#) on page 13 explains the mechanics of how Clearstream Banking charges customers for the service.

[Appendix A](#) provides examples for completing the Lender/Borrower Profile Authorisations.

All documents mentioned and referenced in this Product Guide can be found on the Clearstream Banking website at www.clearstream.com, under:

Information Centre / Global Securities Financing / Securities Lending / ICSD / ASL / [Legal Documentation](#).

The official document governing the ASL programme is called Securities Lending and Borrowing Rules. This Product Guide is for information only. It is not a binding document and does not represent any commitment from Clearstream Banking.

Note: All times shown in this guide are Central European Time (CET).

ASL programme

Legal aspects

The governing document for the Clearstream Banking ASL programme is called the Securities Lending and Borrowing Rules (the “Rules”). The agreement is exclusively governed by Luxembourg law.

Main features of the agreement include:

- A guarantee from Clearstream Banking to the lender in the event of a default by the borrower.
- A second ranking pledge in favour of the lender in the event of a default by the borrower.
This pledge, in addition to the guarantee given to the lender by Clearstream Banking, gives lenders the right to appropriate (without prior notice or court approval) those securities pledged as collateral in the unlikely event that both the borrower and Clearstream Banking (as guarantor) default on their respective obligations under the Rules.
- An automatic buy-in service should the recalled securities not be returned within the stipulated time period.

Customer service

The administration of the ASL programme is handled by a dedicated team in Luxembourg.

The operations centre is open from 08:30 to 18:30 Central European Time. For further information on how this service can help you to minimise administration and settlement failure, please contact the Securities Lending specialists, as follows:

Group telephone:	Luxembourg	+352-243-38112
Group fax:	Luxembourg	+352-243-38201
Group email:	asl@clearstream.com	
SWIFT address:	CEDELULL	

For further information about this Product Guide, or if you have specific questions regarding Clearstream Banking’s ASL programme, please contact your local Global Securities Financing Sales team, as follows:

Telephone:	Luxembourg	+352-243-36868
	London	+44-(0)20-786 27626
	Frankfurt	+49-(0)69-2 11-1 72 50
	Dubai	+971-4-331-0644
	Singapore	+65-6597-1621
	New York	+1-212-309-8882
Group email:	gsf@clearstream.com	

Alternatively, you can contact Customer Service or your Relationship Officer.

The Clearstream Banking website is at www.clearstream.com.

Contents

Foreword.....	i
Legal aspects	ii
Customer service	ii
Figures	iv
Automated Securities Lending	1
Introduction.....	1
Benefits and features	1
Role of Clearstream Banking	2
Credit risk	3
Loans	3
Reporting - Securities Financing Collateral Report	4
Getting started	5
Securities accepted for lending.....	5
Account setup and participation level	5
Credit approval.....	5
Financing timetable	6
Operation of the ASL programme.....	6
Identifying loans	6
Automatic borrowers	6
Borrower - Collateral pledging	6
Case-by-case borrowers	7
Automatic lenders	7
Case-by-case lenders.....	7
Loan maintenance	8
Partial reimbursement of a loan	8
Lender substitution	8
Recall and buy-in time lines.....	8
Termination of a loan	9
Custody events and corporate actions	11
Billing.....	13
Commission fees	13
Handling fees	13
Reporting - Securities Lending and Borrowing Commissions Report (SLBCR)	13
Penalty fees	14
 Appendix A. Completing profile authorisations.....	 A-1

Figures

Figure 1.	ASL key elements	1
Figure 2.	Separate collateral pledge account	4
Figure 3.	Loan opening.....	6
Figure 4.	Pledging of collateral.....	7
Figure 5.	Recall flow diagram	9
Figure 6.	Loan closure	9
Figure 7.	Un-pledging of collateral	10
Figure 8.	Manufactured coupon example	11
Figure 9.	Calculation of commission fees.....	13

Automated Securities Lending

Introduction

For more than twenty-five years, Clearstream Banking has been bridging the gaps that would otherwise cause settlement to fail through its ASL programme.

As a major clearing, settlement and custody provider, Clearstream Banking is ideally placed to provide an efficient settlement engine for bonds and equities.

With a diverse range of customers including multinational corporations, central and sovereign banks, custodian banks and international broker dealers, Clearstream Banking's ASL programme continues to provide a first class lending service.

[Figure 1](#) below shows a simplified model of the ASL programme, identifying the key elements and participants.

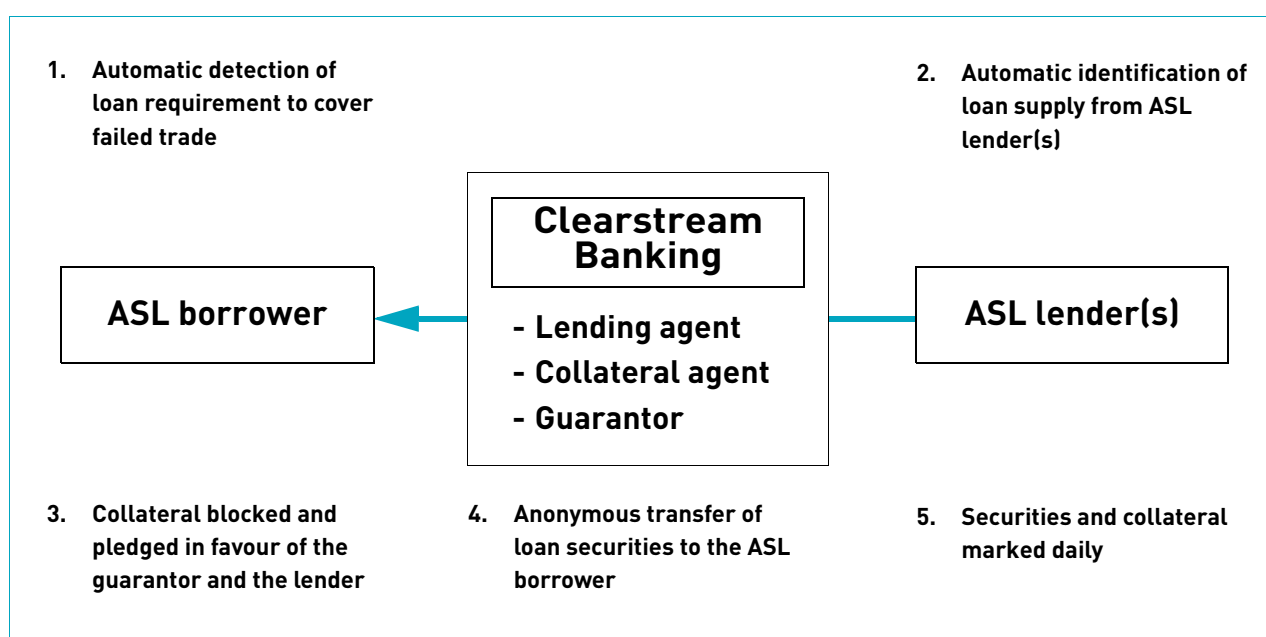


Figure 1. ASL key elements

Benefits and features

The special features of the service include:

For borrowers

- Undisclosed: the undisclosed nature of the ASL programme enables customer anonymity in accordance with the Rules.
- Prevents failure allowing better cash management. Borrowers are able to settle trades that would otherwise fail, providing the cash from the trade on the expected settlement date.
- Access to a large and diverse pool of lendable securities as just one contract has to be signed to access all lenders.
- Automatic collateral substitutions.
- Collateral automatically topped up and returned.
- Automatic or case-by-case loan openings give flexibility to customers.

ASL programme

For lenders

- Reduces risk as the service provides a guarantee against counterparty default and a second-ranking pledge on the collateral.
- Increases portfolio yield, plus custody fees are waived on lent positions.
- Automatic lender substitutions.
- Automatic recall procedure: recalls are automatic and take into consideration matched and unmatched pending delivery instructions for lenders, unmatched receipt instructions for the lender's counterparties and corporate/income events on the loaned securities. Alternatively, a customer can request a return.
- Lenders retain rights to income proceeds.
- Lenders retain the collateral value of the loaned securities.
- Automatic or case-by-case loan openings give flexibility to customers.
- Automated Lender Download facility enables customers with proprietary and customer assets to restrict their lending. More information is available at www.clearstream.com.
- Lenders can limit their USD value for lending.

For both lenders and borrower

- Automatic securities administration reduces overhead costs for both lenders and borrowers. The ASL programme is fully automated and Clearstream Banking manages all operational and administrative processes, including the management of collateral.
- Automated overnight and intra-day lending and borrowing service.
- Daily, weekly and monthly reports, using flexible communication options including SWIFT and CreationOnline.
- Flexibility and freedom as Clearstream Banking provides customers with a choice of either being an automated borrower/lender and/or a case-by-case borrower/lender for all loans.
The automated choice also gives customers the opportunity to further restrict their lending or borrowing activity for as little or as long as they want by using the profile options.

Role of Clearstream Banking

Clearstream Banking acts to facilitate the following:

- Acts as guarantor in accordance with the Rules.
- Undertakes administrative functions, thus saving overhead costs for lenders and borrowers of arranging the securities loans themselves.
- Provides a secure settlement environment.
- Marks securities to market daily.
- Reviews the non-negotiable fixed rates on a monthly basis.

Credit risk

Loans

Clearstream Banking as guarantor

Clearstream Banking is the guarantor in the ASL programme. This guarantee protects lenders against counterparty risk as Clearstream Banking underwrites the risks involved should a borrower default on its obligations under the Rules.

Collateral management

a) Eligibility criteria

Collateral eligibility criteria under the ASL programme are based on the collateral criteria set by Clearstream Banking as detailed in the Customer Handbook (as amended from time to time).

Clearstream Banking decides whether a security is eligible as collateral. Criteria such as the instrument type, industry sector, issuer country, currency denomination and the issuer rating are used to determine whether a security is to be accepted.

For more information about what is acceptable as collateral in the ASL programme, please refer to the section on collateral valuation in the chapter on cash financing services in the Clearstream Banking Customer Handbook or contact your Relationship Manager.

b) Coverage value

The coverage value of an ASL loan is equal to the Market Value of the securities plus an additional margin of 15% for all instruments considered to be not eligible as collateral in Clearstream Banking's settlement business, 10% for convertible bonds and 5% for equities. No margins are applied to other types of securities.

c) Collateral value

The Market Value of the Collateral or Equivalent Collateral less the deduction of a certain percentage of such Market Value, as determined by Clearstream Banking and set forth in Clearstream Banking Governing Documents (as amended from time to time).

d) Concentration Limits, as detailed in the Clearstream Customer Handbook (as amended from time to time).

Borrowers can pledge no more than 10% of any issue. Exceptions are for emerging market issues where, if the value pledged is greater than USD 10 million, a 7% limit applies. Below this USD 10 million value, no limit applies for emerging market issues.

e) Collateral allocation

As new loan requirements are identified, the ASL programme allocates sufficient collateral to cover the value of the loan. Securities can only be borrowed provided the borrower holds sufficient collateral in their account.

Securities used as collateral are blocked in favour of Clearstream Banking as first-ranking pledgee and in favour of the lender as a second-ranking pledgee.

f) Mark-to-market

Positions pledged as collateral are reviewed in accordance with fluctuations in Market Values. Securities are priced several times a day depending on the closing time of the market.

While the loan is outstanding, Clearstream Banking continues to mark-to-market both the loaned securities and the collateral, handles collateral margin deficit calls and the return of excess collateral.

ASL programme

g) Automatic collateral substitutions

While the loan is outstanding, Clearstream Banking also handles collateral substitutions. Securities pledged as collateral are also monitored to identify whether these securities are required for forthcoming deliveries, in which case, alternative collateral is sought.

However, if sufficient alternative securities are not available, then the collateral substitution will fail and the underlying trade will not settle. The lending team identifies such cases and advises Customer Service of the failed trade details. The borrower is contacted so that sufficient collateral can be provided to allow substitution and settlement of the trade.

Separate collateral account

Under certain circumstances, some borrowers can open up a collateral account that is separate from their borrowing account. This separate collateral account collateralises the borrowing activity on the borrowing account.

The minimum amount requested on the collateral account must cover the totality of the borrowing line granted for the trading account. Clearstream Banking makes no request for specific securities, and control of sufficient securities on the account is provided to the borrower.

Securities cannot be transferred from the collateral account until a sufficient amount of alternative securities have been provided as collateral. This service is offered at no extra cost, but a separate side letter must be signed (please see Appendix A of the Securities Lending and Borrowing Rules).

Example for a USD 300 million credit borrowing line:

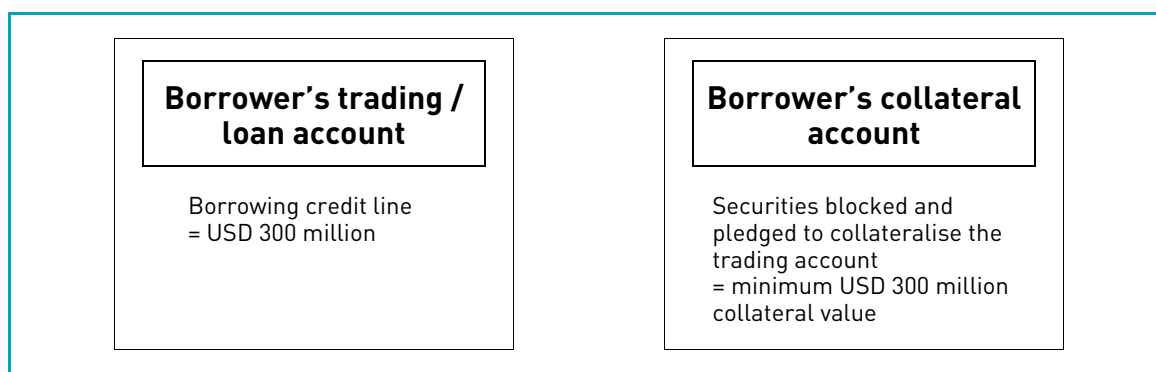


Figure 2. Separate collateral pledge account

Reporting - Securities Financing Collateral Report

The collateral report is available, upon written request, for each lender that is contributing to at least one active loan in the ASL programme. It gives lenders, according to BASEL II regulations, an end-of-day snapshot of all open loans with details provided of each loan to which they contribute (principal details) and all pieces of collateral that have been allocated to them as coverage for their exposure (collateral details).

The information in the report is provided in separate subsections (ASLguaranteed-Principal, ASLguaranteed-Collateral, ASLsecured-Principal, ASLsecured-Collateral), terminated with subtotal information that provides an overview of the USD and EUR Market Value of the lender's exposure versus the total USD and EUR Market Value of the collateral allocated to them.

If the lender has requested reporting from Clearstream Banking in accordance with the Rules, Clearstream Banking shall communicate this report according to communication means and timing decided by Clearstream Banking, which may include on a daily, weekly or monthly basis, in XML format through the CreationDirect via Virtual Private Network (VPN), CreationDirect via Internet and CreationDirect via SWIFTNet. Delta versions of the report are not available.

Getting started

Securities accepted for lending

Equities, investment fund units and debt instruments (namely, straight bonds, convertible bonds, warrants, cum warrants, floating rate notes and zero coupon bonds) are eligible for lending in Clearstream Banking as per Appendix B of the Rules. Excluded are non-fungible securities and securities for which the conditions of issue specifically exclude lending and/or borrowing. The ASL programme will not automatically open a loan for less than USD 100 countervalue.

Account setup and participation level

To take advantage of the ASL programme, customers need to sign the Execution Page of the Rules, specifying if they want to participate either as an automatic lender/borrower, and/or on a case-by-case lender/borrower basis. (For details, see Appendix A of the Rules, Letter of Agreement and Acceptance).

Although, case-by-case participation in the ASL programme is possible, participation on an automatic basis is the most common as it increases the level of return for lenders and efficiency for borrowers.

Automatic borrower

An automatic borrower would like a loan arranged whenever possible and without prior consultation in order to prevent failure of a transaction. Automatic borrowing applies by default to “against payment” instructions.

Automatic borrowers can limit borrowing by excluding certain securities, instruction types, currencies or depository codes. The automatic borrowing facility can also be extended to free of payment instructions. The borrower profile authorisation form can be found on the website. (For details, see [Appendix A](#) on page A-1 of this document and Appendix D of the Rules, Borrower Profile Authorisation.)

Case-by-case borrower

Case-by-case borrowers must send a borrowing request form for each borrowing need. The Lending Operations Team will respond with the availability, however this is no guarantee that the loan will open. (For details, see Appendix E of the Rules, Securities Borrowing Request Form.)

Automatic lender

An automatic lender makes securities available for lending that can be used without prior consultation with the customer.

If a lender wants to limit what they lend from their portfolio, they can do so by completing the lender profile authorisation form, which can be found on the Clearstream website. (For details, see [Appendix A](#) on page A-1 of this document and Appendix C of the Rules, Lender Profile Authorisation.)

Profiling can be done either by security, currency or depository code. Customers may also specify the processing periods for which they want to lend. Alternatively lenders can use the automated lender download.

Case-by-case lender

A case-by-case lender will be consulted prior to each loan opening. To ensure maximum revenues are generated, customers must provide Clearstream Banking with the appropriate contact details.

Credit approval

Upon approval from Clearstream Banking, a borrower account is opened in the name of the customer and a discretionary borrowing limit is applied. The credit limit is based on the USD Market Value of the securities borrowed.

ASL programme

Financing timetable

Instruction types financed on an automatic basis are processed as such during the Clearstream Banking settlement day (as detailed in the Customer Handbook (as amended from time to time), as follows:

- Real-Time Processing (RTP) - financing for Bridge, internal and domestic instructions. All domestic financing occurs at 05:00 CET, at the midpoint between 05:00 CET and the deadline for the provisioning period, and five minutes before the deadline according to the domestic market.¹
- Daytime Processing (DTP) - financing for domestic instructions where DTP is the last point to finance.

Operation of the ASL programme

Identifying loans

When a loan is opened, it is given a loan number, which is made up of seven alphanumeric characters and always starts with "L" (for example, LC12345).

This loan identification is not a forever unique identifier; loan numbers are reused from month to month but not within the same month.

Automatic borrowers

Clearstream Banking will open loans for automatic borrowers if an instruction fails, provided that:

- There is sufficient liquidity in the lender pool; and
- The borrower has securities available as collateral; and
- A sufficient credit line is available.

When a loan is opened for a borrower, a 31 instruction is sent detailing the security and nominal borrowed. The borrowed securities are credited to the borrower's account via Clearstream Banking's Securities Lending transit account 57711. The securities are then delivered to meet the borrower's trade obligations allowing the borrower to receive the cash due from the trade.

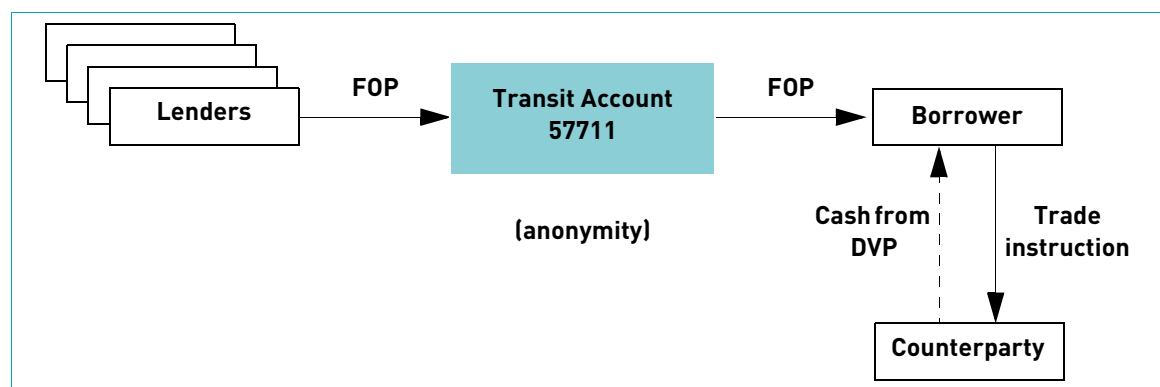


Figure 3. Loan opening

Borrower - Collateral pledging

A borrower must be able to supply collateral before the loan can be opened. Two 31 instructions will also be sent, detailing the collateral movements. Through this movement, the securities are blocked and pledged as collateral.

1. The exception to this is loans opening for free of payment domestic instructions for the Italian depository, Intesa Sanpaolo (code 80). Those loans are opened during RTP.

For a more in-depth explanation of the collateral movements, please refer to the [Automated Securities Lending Programme: Reporting Guide for ASL and ASLplus](#).

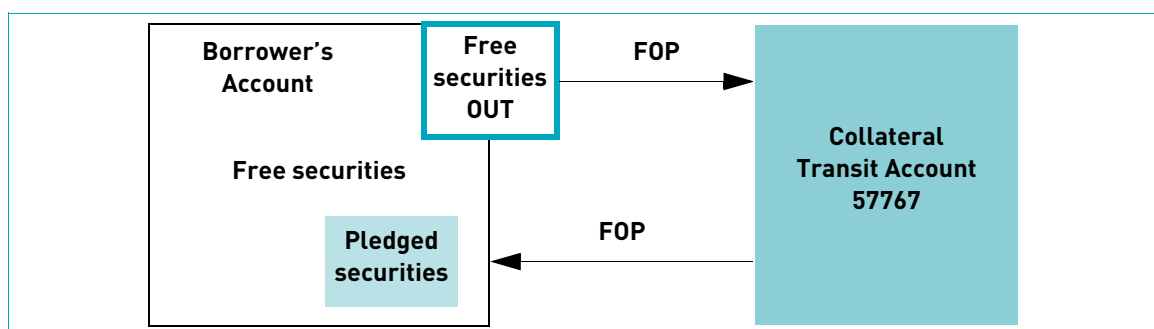


Figure 4. Pledging of collateral

The securities allocated as collateral are booked from the borrower's account in favour of Clearstream Banking's securities collateral account 57767 and then booked back to the collateral account.

For loans using the separate collateral account facility, the collateral movement described above does **not** apply; instead the securities are blocked on the account.

Case-by-case borrowers

A case-by-case borrower needs to complete the Securities Borrowing Request Form¹ (see Appendix E of the Rules) and fax it to the Lending Operations Team in Luxembourg using the number on the form. The Lending Operations Team will reply to the fax indicating whether the securities are available or not. If securities are available, Clearstream Banking will open the loan(s) on behalf of the borrower.

Alternatively, borrowers can send an authenticated message detailing their request, this includes SWIFT messages and Bloomberg.

The deadlines for case-by-case borrowing are specified on the Request Form.

Once the loan has been accepted and processed, the same movements occur as described above for automatic borrowers.

Automatic lenders

Clearstream Banking will open loans with automatic lenders as borrowers require the securities. Lenders will be notified of the loan opening via a 31 instruction. The lent securities are transferred from the lender's account to the borrower's account via the anonymous lending account, 57711 (see [Figure 3](#) on page 6).

When calculating the nominal amount of securities available for lending, ASL takes into account all matched and unmatched instructions for the lender and all unmatched instructions for the lender's counterparty, up to three working days in advance.

Case-by-case lenders

A case-by-case lender must provide Clearstream Banking with contact details. Clearstream Banking contacts each lender on a case-by-case basis to request securities that are required for the ASL programme.

No further action is required from the case-by-case lender as the Lending Operations Team will open up loans on their behalf. The lent securities are transferred from the case-by-case lender's account to the borrower's account via the anonymous lending account, 57711.

A SWIFT MT599 message will be sent to the lender to confirm which securities have been used and the nominal amount.

1. This form can be downloaded from our website, www.clearstream.com, under Information Centre / Global Securities Financing / Securities Lending / ICSD / Automated Securities Lending Programme / [Legal Documentation](#).

ASL programme

Loan maintenance

Partial reimbursement of a loan

Borrower

If the borrower partially reimburses a loan during its life cycle, the borrower will be notified via a 31 instruction debiting their account for the returned nominal amount to credit the transit account 57711. The borrowed nominal amount will be reduced at the same time and the loan number will remain unchanged. Fees will be calculated accordingly and the respective amount of collateral will be returned.

Lender

If a lender receives part of the lent securities during the life cycle of a loan, a 31 instruction will be sent to the lender debiting the transit account 57711 and crediting the lender's account with the nominal amount. The loaned nominal amount will be reduced, but the loan number will remain unchanged.

Lender substitution

Borrower

When a lender requires the return of securities, Clearstream Banking will in the first instance allocate the loan to another automatic lender. If no other automatic lenders are available, Clearstream Banking will contact case-by-case lenders to try to perform a lender substitution.

Lender

If the lender sends a delivery instruction to Clearstream Banking or changes the lending limit on their account, or if the lender's counterparty sends a receipt instruction to the system, ASL automatically replaces the loan with other lenders.

If automatic lenders are not available or if there is insufficient supply, then case-by-case lenders will be approached. ASL will take into account all matched and unmatched instructions¹ for the lender and all unmatched instructions for the lender's counterparty, three business days in advance.

Recall and buy-in time lines

A recall is triggered by the lender's notification to Clearstream Banking, by authenticated means of communication, upon the lender's delivery instruction or the receipt instruction for the lender's counterparty (no earlier than three business days before the requested Settlement Date of the instruction).

The recall period is determined in accordance with Appendix G of the Rules, as follows:

- Recalls triggered **before** 14:00 CET² start on the same day.
- Recalls triggered **after** 14:00 CET start on the following business day.

In the following figure:

T:	Trade date; the date on which the lender instruction is input.
Start Date:	Date on which recall period is due to start (recall notification sent to borrower).
End Date:	Date on which recall period is due to end (notice of default sent to borrower).
Start Date +2:	Cash option notification sent to lender.

1. Customers that do not want to include unmatched trades in the substitution/recall process can specify this in the Lender Profile Authorisation (available on the Clearstream Banking website).

2. For U.S. securities, this deadline is 15:00 CET.

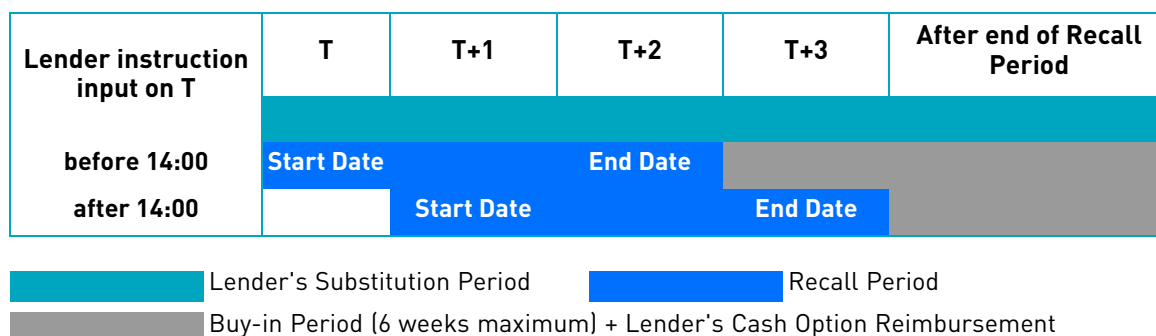


Figure 5. Recall flow diagram

Penalty fees

The recall procedure is reinforced with penalty fees. If recalled securities are not returned on the recall expiration date, EUR 1,250 is charged to the borrower. At Clearstream Banking's discretion, further fees will be payable every fourth business day until the recalled securities are returned. Lenders receive EUR 500 from each penalty payment.

Termination of a loan

Upon redelivery of the securities from the borrower

If a borrower wants to close out a loan, the borrower only needs to deliver the borrowed nominal into its account.

Clearstream Banking will use the returned securities to close out the loan, generating automatically a 31 instruction from the borrower's account to credit the transit account 57711.

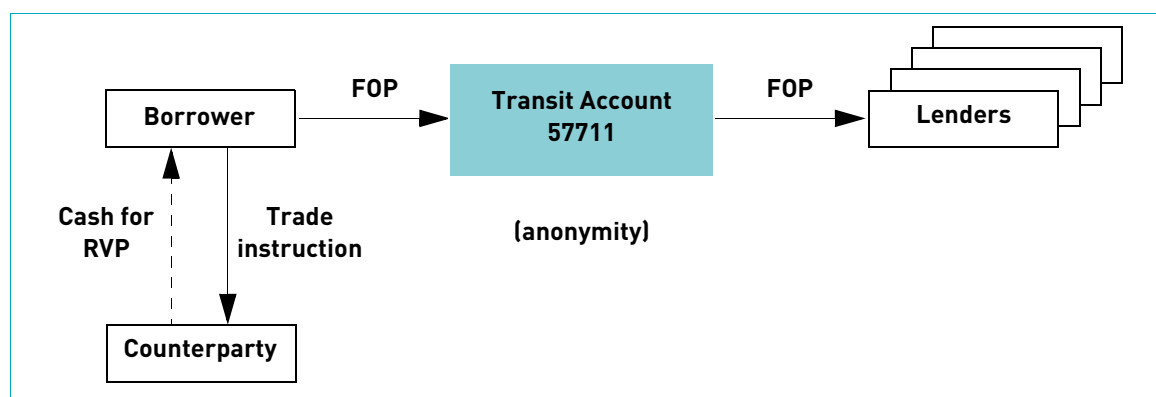


Figure 6. Loan closure

Upon un-pledging the collateral

The collateral will also be unblocked and released in favour of the borrower. The same movements of securities as in a loan opening occur but with the reverse effect of un-pledging the securities.

The pledged securities are delivered from the collateral account onto the collateral transit account 57767 to be in turn redelivered free into the borrower's account.

ASL programme

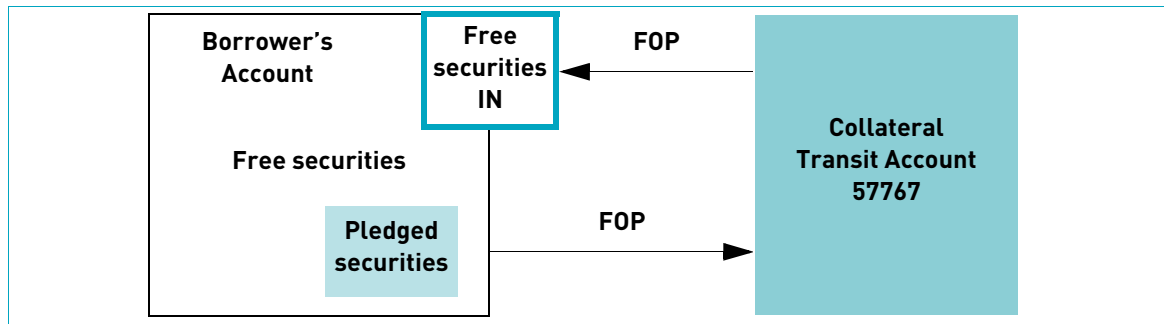


Figure 7. Un-pledging of collateral

When receiving securities from a borrower, Clearstream Banking prioritises the loan reimbursement over trade settlement. If a trade is pending, it will be presented for financing and a new loan will be opened.

Upon request from the lender

On the lender side, a loan will terminate as follows:

- A lender's substitution as a consequence either of the input of a new trade (by the lender or by the lender's counterparty) or of a change of lending limit;
- The return of securities from the borrower subsequent to a recall notice as no other lenders were available or upon completion of a buy-in.

The lender(s) involved in the loan will automatically receive through a 31 instruction the corresponding securities from the transit account 57711 (see [Figure 6](#) on page 9).

Upon request of Clearstream Banking

Although occurring less frequently, a loan may terminate upon request from Clearstream Banking, requiring the borrower to return borrowed securities as soon as possible but in no case later than three business days following Clearstream Banking's notification.

Custody events and corporate actions

Income Events

Clearstream Banking will manufacture all coupon/dividend and redemption proceeds, either full or partial, on payment date. For upcoming income events, loans will be recalled five (5) days before either the record date or the payment date.

Borrower

If interest/dividend is paid on a security during the life of a loan, Clearstream Banking will debit the borrower's account with the gross amount without any deduction or withholding for or on account of any tax unless such deduction or withholding is required by any tax law.

All corporate actions are managed as appropriate and Clearstream Banking will notify the borrower of any actions that need to be taken.

Note: The example below is of a coupon paid on a bond. Borrowers will not find an equivalent credit booking to reconcile their cash position. They actually perceive the coupon indirectly and make no loss/profit on this payment.

When borrowing securities before the record date of a coupon payment or any income events, borrowers sell the securities cum coupon. If they are still borrowing the securities over the record date, they will then buy them back ex-coupon (that is, at a lower price because little or no interest has accrued).

The profit made between the sale price and the repurchase price corresponds to the coupon. When borrowing securities, the only actual loss/profit to be made is on the clean price and the resultant fees.

Example:

- a) Customer A borrows 100 bonds of security XYZ and sells them for a (clean) price of 100 + accrued interest of 12, giving sale proceeds of 112.

The record day is the same day and customer A does not hold any securities, but has a loan of 100, a negative holding. Customer A is debited for the coupon, that is, 12.

- b) Next day, customer A purchases the same securities in order to close the loan with a clean price of 100 and accrued interest of 0 (as none has yet been incurred).

Therefore:

Profit related to the coupon payment =	Sale	- coupon	- purchase
=	+112	- 12	- 100
=	0		
=	no loss/profit related to the coupon payment		

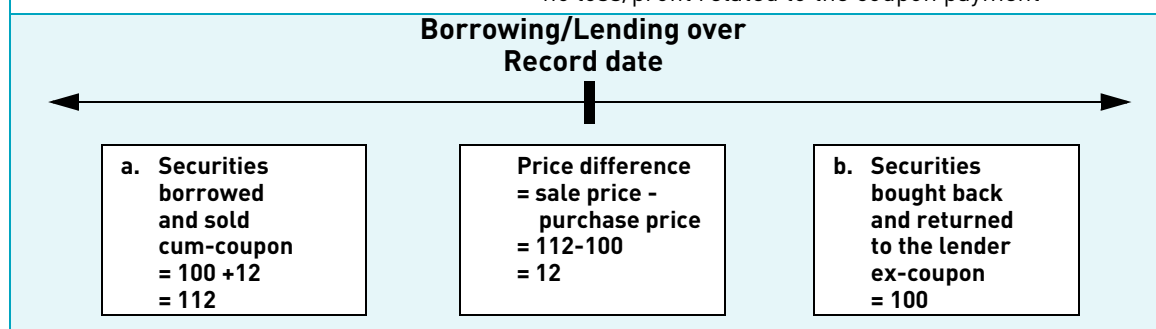


Figure 8. Manufactured coupon example

If loans are still open on redemption date in an issue that reaches maturity, Clearstream Banking will manufacture the payment, thus debiting the borrower's account according to the market payment details, and pass the cash to the lender.

ASL programme

Lender

If loans are still open on redemption date in an issue that reaches maturity, Clearstream Banking will manufacture the payment, thus debiting the borrower's account according to the market payment details, and pass the cash to the lender. No closing instruction is generated for the lender.

Corporate actions

As a general rule, once Clearstream Banking is aware of a corporate action, the respective Securities will no longer be eligible for lending or borrowing. For corporate events, loans will be recalled 15 days before either the record date or the event deadline.

Voluntary events

Current holdings

Clearstream Banking will notify lenders and borrowers, via the customer's preferred communication method, about any upcoming corporate events on the lent securities, details of these notifications can be found in the Reporting Guide for ASL and ASLplus.

Lenders should notify Clearstream Banking by the necessary deadline in order to participate in a corporate action. The notice should include the lender's intentions for the held-free position as well as for the lent position.

Based on this notice, Clearstream Banking may, at its discretion, recall the Securities. Lenders are therefore requested to provide notice in sufficient time to allow for the return of the Securities.

The participation in the corporate action related to the lent position will be actioned, meaning that the on-loan position will be reflected in the books of Clearstream Banking as if the lender had participated.

For example, **Exchange full or partial:**

If a security is subject to an exchange offer and the lender sends notice to participate, then, on exercise date, the original loan will cease, a new loan will be opened in the new security code reflecting the amount being exchanged and another new loan will be opened in the original security reflecting the portion not exchanged.

Any Cash distribution that is due is then debited from the borrower and paid to the lender.

Voting rights and consent fees

Lenders that want to exercise their voting rights should recall their Securities within the stipulated deadlines. However, the lender can only participate in the vote up to the amount that they hold on their account on record date.

Compensation for consent fees (or other incentive or similar fees paid as an incentive to participate in a corporate action) will be provided to the lenders. In order to benefit from such fee, the lender must have recalled the Securities within the stipulated deadlines.

If the borrower fails to return the Securities in time to enable participation, then the necessary Cash payment will be debited from the borrower and paid to the lender.

The lender will not be able to receive such compensation fee if the recall deadline has not yet been reached or if the record date has been passed.

Mandatory events

In the case of a corporate action for which no instruction is required, Clearstream Banking will perform the necessary action.

For example, **Call option:**

If a security is subject to a call option, then the nominal on Loan will be reduced by the percentage subject to the terms of the call and the necessary Cash will be credited to the lender.

Billing

Commission fees

All loans that close during the month are taken into consideration for the monthly billing. However, those loans that are still open at month-end are rolled over after the end of day processing (EOD) on the last business day of the month and given a new loan number, and the new month's fee accrual is set to zero. This is for billing purposes.

Customers are debited and credited on a monthly basis in Euro, on the 15th of the month following the billed month. If the 15th falls on a non-business day, Clearstream Banking bills on the next business day.

Calculation of commission fees

All rates are reviewed on a monthly basis and published via Clearstream Banking's announcements.

Customers are charged at one point during the day: after the end of day processing. On a daily basis, loans are re-valued and this Market Value is used to calculate the fee each day. So, for example, if a loan is open for three days, the below calculation is used with a different Market Value for each of the three days, accrued each day, and the total is the fee (for borrowers)/income (for lenders) for that loan.

The calculations are as follows:

Borrowers:	$\frac{\text{Nominal Borrowed} * \text{Market Value per unit in EUR} * \text{Borrowing Fee}}{360}$
Lenders:	$\frac{\text{Nominal Lent} * \text{Market Value per unit in EUR} * \text{Lending Income}}{360}$

Figure 9. Calculation of commission fees

Handling fees

A one-off handling fee (in EUR) is charged to the borrower as a loan opens. This fee is dependent upon the size of the trade that the loan settled. Please refer to the Global Securities Financing section of Clearstream Banking's [International Fee Schedule](#) on the Clearstream website, www.clearstream.com, under Information Centre / Customer Information / International Fee Schedule.

Borrowers are debited on a monthly basis, on the 15th of the month following the billed month. If the 15th falls on a non-business day, Clearstream Banking bills on the next business day.

The borrowing handling fees are debited together with other fees (account maintenance fees, communication fees...) via a single debit instruction. The instruction reference starts with FL----- and the amount related to the "BORROWING HANDLING FEE" is indicated in the wording.

Reporting - Securities Lending and Borrowing Commissions Report (SLBCR)

The SLBCR is intended to help customers to reconcile all loans opened and closed within the chosen reporting period, providing the following details on a per loan basis:

- The commissions generated as a lender, based on their contribution period;
- The borrowing and handling fees incurred as a borrower, based on the loan's opening and closing dates.

The report is available in PDF and XML format and can be generated daily, weekly or monthly, sorted optionally by ISIN.

For full details of billing reports, please refer to the [Automated Securities Lending Programme: Reporting Guide for ASL and ASLplus](#).

ASL programme

Penalty fees

Penalty fees and related payments to lenders are processed together with the monthly billing. They are reported on the monthly customer invoice in the Global Securities Financing Fees and Income section, together with the ASL details.

Customers are debited/credited on a monthly basis in EUR on the 15th of the month following the billed month. If the 15th falls on a non business day, Clearstream Banking bills on the next business day.

Appendix A. Completing profile authorisations

Securities Lending and Borrowing

Lender profile authorisation: completing the form

Instructions for completing the Lender Profile Authorisation Form

The form is divided into two sections to allow separate levels of customisation:

Lending eligibility: Where you specify the securities you want to be included for lending (by default, all lendable securities as specified in the Securities Lending and Borrowing Rules (the "Rules")).

Lending restrictions: Where you may restrict or exclude securities from overall eligibility according to your needs on a temporary or permanent basis. An overall lending limit may be set as a USD value.

Please complete either or both sections, as applicable, to meet your lending requirements. Having no restrictions will maximise your lending opportunities. Please note that the profiling covers both the ASL and ASLplus programmes.

For prompt implementation of your Lender Profile:

Please fax and mail the completed form to:

Clearstream Banking S.A., Securities Lending Department, L-2967 Luxembourg

Fax: +352-243-38201

Example of Lender Profile

Lending eligibility

All securities eligible for lending under the Rules will be considered in all processing cycles unless specified otherwise below.

Please indicate your lending eligibility requirements as follows:

- Enter either the ISIN or common code in column 1 or a currency code in column 2 or a depository code in column 3.
- Complete columns 4, 5, 6 and 7 as follows:
 - Column 4: By default, lending will be available at any time during the day. Should you wish to determine specific time periods for your portfolio to be available for lending, please specify time stamps (start time/end time).
 - Column 5: Enter the percentage of your portfolio available for lending against your choice in column 1 or 2 or 3.
 - Column 6: For automatic lenders only – enter CBC to indicate that case by case lending applies to your choice in column 1 or 2 or 3.
 - Column 7: Specify the asset class you wish to refer to: fixed income, equity or both.

1 ISIN or Common Code	2 ISO Currency	3 Depository Code	4 Time Stamps (CET) Start time End time	5 Percentage	6 Status (Automatic lenders)	7 Asset Class
XXX012345678				75%	CBC	
	USD			50%		
		43	19:00 04:00			

Lending restrictions

You may optionally restrict your lending to a single instrument type:
(please check (✓) one box only, if required)

☐

Fixed Income

☐

Equity

You may also exclude or restrict the eligibility of specific securities available for lending as follows:

- Enter either the ISIN or common code in column 1 or a currency code in column 2 or a depository code in column 3.
- Complete columns 4, 5, 6 and 7 as follows:
 - Column 4: Enter the maximum nominal amount or percentage of your portfolio available for lending against your choice in column 1 or 2 or 3.
 - Column 5: Enter the start date of the restriction to be applied to your choice in column 1 or 2 or 3.
 - Column 6: Enter the end date, if known, of the restriction to be applied to your choice in column 1 or 2 or 3.
 - Column 7: Specify the asset class you wish to restrict to: fixed income, equity or both.

1 ISIN or Common Code	2 ISO Currency	3 Depository Code	4 Maximum nominal amount or percentage of portfolio	5 Start date of restriction (DD.MM.YYYY)	6 End date of restriction (DD.MM.YYYY)	7 Asset Class
		35	50%			fixed income or equity
123456789			100 million	05.03.2010		
		43		05.03.2010	12.03.2010	

You may also set a USD limit under the Rules. Once set, your outstanding lending will not go above this level. It is recommended that you set your limit slightly below the desired level to ensure that it is not exceeded due to fluctuations in the price of lent securities.

Global USD Limit: 2,000,000,000

ASL Limit: 500,000,000

ASLplus Limit: 1,500,000,000

Include Lender substitutions/recall ONLY on matched delivery instructions:

☐

Please fax and mail the completed form to:

Clearstream Banking S.A., Securities Lending Department, L-2967 Luxembourg Fax: +352-243-38201

Page 1 of 1

5515 Instructions/02.2012

ASL programme

Securities Lending and Borrowing

Borrower profile authorisation: completing the form

Instructions for completing the Borrower Profile Authorisation Form

The form is divided into two sections to allow separate levels of customisation:

Borrowing eligibility: Where automatic borrowers can specify which instruction types and which securities they want to borrow (by default all lendable securities as specified in the Rules) for DVP instructions).

Specific borrowing restrictions: Where you may restrict or exclude securities from the overall eligibility according to your needs on a temporary or permanent basis.

Please complete either or both sections, as applicable, to meet your borrowing requirements.

For prompt implementation of your Borrower Profile:

Please fax and mail the completed form to:

Clearstream Banking S.A., Securities Lending Department, L-2967 Luxembourg

Fax: +352-243-38201

Example of Borrower Profile

Borrowing eligibility			
Automatic borrowers:	All securities eligible for borrowing in the ASL programme (as specified in the Rules) will be considered for DVP instructions or as specified below in all processing cycles where they are eligible for settlement.		
Instruction type:	Please check (✓) the box for each type of security instruction for which you want to be an automatic borrower: ☒ 81 ☒ 8A ☒ 8D ☐ 8M ☒ 5F ☒ 51 ☐ 31 For all other instruction types, you will be a case by case borrower. Please indicate your borrowing eligibility requirements as follows: Enter either the ISIN or common code in column 1, or a currency code in column 2 or a depository code in column 3 to indicate your borrowing eligibility requirements.		
1 ISIN or Common Code	2 ISO Currency	3 Depository Code	4 Asset Class
XXX012345678	EUR	43	fixed income or equity

Case By Case borrowers: All securities eligible for borrowing under the Rules will be considered for borrowing upon receipt of a loan request.

Borrowing restrictions				
Automatic and case by case borrowers:	You may also exclude securities or restrict the eligibility of securities available for borrowing. To block or unblock a security, currency or depository, enter block or unblock in column 1 and complete column 2 or 3, 4 or 5 as appropriate. If defining column 3 or 4, please indicate the asset class: fixed income, equity or both.			
1 Block or Unblock	2 ISIN or Common Code	3 ISO Currency	4 Depository Code	5 Asset Class
Block	123456789			
Block		ZAR		
Unblock			35	

You may optionally restrict your borrowing to a single instrument type:
(please check (✓) one box only, if required)

☐

Fixed Income

☐

Equity

You may also set, per loan, a USD lower and/or upper limit based on the value of the loan. Once set, a loan will not be opened below or above the specified limit(s). These limits are optional and borrowers can set either one or both.

USD Lower Limit:

500,000

USD Upper Limit:

50,000,000

Contact

www.clearstream.com

Published by

Clearstream Banking Luxembourg

Registered address

Clearstream Banking SA
42 Avenue JF Kennedy
L-1855 Luxembourg

Postal address

Clearstream Banking
L-2967 Luxembourg

6 January 2014 - pre-issue

Document number: 6239
